

Homework 1

Computational Bootcamp, Summer 2026

Due: Wednesday, August 5

Submission: via Classroom 50 — accept the assignment invite link (posted in class), clone your repository, and `git push` to submit. See the repository README for setup.

Question 1: Present values

Write a function `present_value(payments, r)` that takes a vector of payments $(y_1, \dots, y_T)$ and an interest rate r and returns

$$PV = \sum_{t=1}^T \frac{y_t}{(1+r)^{t-1}}$$

using a `for` loop. Check your function against the closed form for a constant payment stream ($y_t = 1$ for all t), which is a geometric sum.

Question 2: Age-earnings profiles

A worker's log earnings over the life cycle are often approximated by a polynomial in experience x :

$$p(x) = a_0 + a_1x + a_2x^2 + \dots + a_nx^n = \sum_{i=0}^n a_i x^i$$

Using `enumerate()` in your loop, write a function `p(x, coeff)` that computes the value of the polynomial given a point x and an array of coefficients `coeff`. Plot the implied earnings profile $\exp(p(x))$ for $x \in [0, 40]$ with coefficients $(2.6, 0.08, -0.0015)$.

Question 3: Monte Carlo warm-up

Compute an approximation for π using Monte Carlo. You may only use `rand()` for random number generation. Hint: if U is a bivariate uniform random variable on the unit square $(0, 1)^2$, then the probability that U lies in a subset B of $(0, 1)^2$ is equal to the area of B .

Question 4: Simulating and estimating a Mincer regression

Let the data generating process for log wages be

$$\log(w) = \beta_1 educ + \beta_2 exp + \beta_3 exp^2 + \beta_0 + \sigma \varepsilon$$

where $\varepsilon \sim N(0, 1)$ iid, *educ* and *exp* are scalars, and $(\beta_0, \beta_1, \beta_2, \beta_3)$ are parameters.

- Draw $N = 50$ values of $educ \sim N(14, 4)$ and $exp \sim N(15, 25)$ once, and hold them fixed.
- Using $\beta_0 = 1.0$, $\beta_1 = 0.08$, $\beta_2 = 0.04$, $\beta_3 = -0.0008$, and $\sigma = 0.35$, draw an ε vector and generate $\log(w)$. Repeat until you have 200 simulated samples.
- Calculate ordinary least squares *manually* (i.e. $\hat{\beta} = (X'X)^{-1}X'y$) for each of the 200 simulations. Plot histograms of the estimates of each parameter. Comment: are the estimators centered at the truth?

Question 5: Firm survival

A firm's log productivity follows the random walk with drift

$$x_{t+1} = \alpha x_t + \sigma \varepsilon_{t+1}, \quad x_0 = 1,$$

where $\{\varepsilon_t\}$ is iid standard normal. The firm *exits* the first time its productivity falls to zero or below: the exit time is $T_0 = \min\{t \mid x_t \leq 0\}$ (set $T_0 = t_{\max}$ if the firm survives the whole sample).

- With $\sigma = 0.2$ and $\alpha = 1.0$, simulate 100 productivity paths (up to $t_{\max} = 200$) and plot a histogram of exit times T_0 .
- Plot the sample mean of T_0 for $\alpha \in \{0.8, 1.0, 1.2\}$. Interpret: what does α do to firm survival?

Question 6: Newton's method

Recall that the root of a univariate function $f(\cdot)$ is an x such that $f(x) = 0$. Starting from a guess x_0 , Newton's method repeats

$$x^{n+1} = x^n - \frac{f(x^n)}{f'(x^n)}$$

until $|x^{n+1} - x^n|$ is below some tolerance threshold. Code a function that implements Newton's method, accepting a function `f`, its derivative `f_prime`, a starting guess `x_0`, a tolerance `tol`, and a maximum number of iterations `maxiter`. Test it with $f(x) = (x - 1)^3$ and with a nontrivial economic example: find the interest rate r that prices a 10-year bond paying a coupon of 5 per year with face value 100 at an observed price of 95, i.e. solve

$$f(r) = \sum_{t=1}^{10} \frac{5}{(1+r)^t} + \frac{100}{(1+r)^{10}} - 95 = 0.$$

(You may compute f' analytically.)

Question 7: Make it fast

The file `slow_growth.jl` in your homework repository solves the deterministic optimal investment problem from Lecture 2,

$$V(K) = \max_{K'} \{ \log(c) + \beta V(K') \}, \quad c = K^\theta + (1 - \delta)K - K',$$

with $\theta = 0.36$, $\delta = 0.025$, $\beta = 0.99$, and a capital grid from 0.01 to 45 with 1000 points — but it is written *terribly*: global variables, no functions, type instability, unnecessary allocations.

Rewrite it using the practices from Lecture 2 (a `@kwdef` struct for primitives, functions for the Bellman operator and solver, pre-allocation). Use `BenchmarkTools.jl` to report the speedup you achieve, and list which changes bought you the most.